

equity. Additionally, if Buffett, by using the margin of safety, is able to buy this outstanding business at a significant discount to its intrinsic value, Berkshire will earn an extra bonus when the market corrects the price of the business. “The market, like the Lord, helps those who help themselves,” Buffett says. “But unlike the Lord, the market does not forgive those who know not what they do.”³¹

Anatomy of a Long-Term Stock Price

For readers who more readily process information visually, I created the graphic in [Figure 3.1](#). It shows, in concentrated form, most of the key ingredients of Buffett’s approach.

Figure 3.1 Anatomy of a Long-Term Stock Price

